

EXECUTIVE MEMO

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From: Team 2

Subject: Actionable Alpha Insights

The Winning Theme

Based on the five-year cumulative return and OHLC deep-dive charts, *AI Infrastructure, Chips, Generative AI Platforms & Enterprise Software* was the clear winning theme. The portfolio achieved approximately a 4.3× cumulative return, outperforming every other thematic portfolio over the period. The OHLC analysis shows a strong, sustained uptrend with controlled drawdowns, indicating that returns were driven by durable fundamentals such as rising compute demand, semiconductor scarcity, and enterprise-level AI adoption rather than short-term market speculation.

The Laggard

The weakest-performing theme over the same horizon was *Robotics, Automation & Autonomous Vehicles*. While the theme benefited from strong long-term narratives, its cumulative return remained close to 1.3–1.4×, significantly lagging both thematic peers and major technology benchmarks. The performance charts suggest that commercialization challenges, high capital requirements, and slower revenue realization constrained investor returns despite continued innovation.

The Alpha and the Hype

When compared against benchmarks such as **QQQ** and **ARKK**, the *AI Infrastructure* theme clearly generated true alpha, outperforming both benchmarks on a cumulative basis. In contrast, *Cryptocurrency, Digital Assets & Mining* exhibited characteristics of a hype-driven theme. Although it experienced sharp rallies, its long-term cumulative return was inconsistent and failed to exceed the sustained performance of AI-focused infrastructure themes, indicating weaker risk-adjusted outcomes.

The “One Bet” Problem

The correlation heatmap of daily returns highlights that several themes are effectively the same bet. In particular, *AI Infrastructure* and *Cloud Computing & Data Centers* show correlations exceeding 0.8, implying limited diversification benefits when held together. Similarly, QQQ and leveraged technology ETFs exhibit extremely high correlations, suggesting that combining these exposures largely amplifies the same underlying market risk rather than creating diversification.

Final Actionable Investment Idea

Given the strong performance leadership of *AI Infrastructure* and its high correlation with *Cloud Computing*, a potential actionable strategy would be a relative-value trade: going long the AI Infrastructure theme while underweighting or shorting Cloud Computing exposure. This approach aims to isolate structural AI-driven alpha while reducing redundant hyperscaler beta, thereby improving risk-adjusted portfolio outcomes.